FASE: Industrial Design of Digital Assets

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Agreements

The following sentences stand on their own. These are candidate agreements and reported points of convergence for working-group review. Inclusion does not establish consensus, verify a technical claim, or record formal adoption. The working group must confirm each decision before it is cited as such. Claims that were only discussed, including figures and alternatives that were not adopted, remain in full under Discussion.

Regulation is local and the market is global. The same asset fails locally, across borders, and on venues with no home jurisdiction. One layer cannot be disciplined in isolation.

Three problems reinforce each other: compliance costs sit on licensed firms only; infrastructure is concentrated and the public chains are under-maintained by their users; market access is one-way, so tokenization's cost savings do not show up.

Market forces alone will not repair that mismatch. The policy problem is the pathway between regulated finance and DeFi, and the cost of staying inside, not a simple more-rules or fewer-rules choice.

Same activity, same risk, same regulation is the functional principle. Governance, conflicts, and capital rules still attach to the entity. Code is reached through issuers, key holders, front ends, standards and audits, and only controversially through validators.

Fiat on-ramps and off-ramps do not work once stablecoins and tokens circulate for a long time without touching fiat. Immutable code with no controller leaves the border as a backstop only.

Asking validators to filter transactions is in tension with censorship-resistance. That route is the most disputed of the five.

Some market plumbing should be shared — surveillance of the same token across venues, custody separated from trading, security defense — and firms should compete on the rest. Multiple custodians

and distributed keys are there to avoid a single point of failure. The right number of custodians is deliberately unsolved.

Traditional finance and DeFi should be designed to complement each other: reusable KYC, monitoring of regulated flows into DeFi, financial institutions as trust anchors.

Cross-border compliance gaps, a shared definition of "fully decentralized," shared infrastructure, and two-way access with legal certainty are beyond any single country. FSB and IOSCO are the coordination bodies named.

Japan's consumer-protection outcome in FTX is tied to local custody. That success coexists with a very small share of global volume, widespread losses among domestic exchanges, thin local infrastructure, and one-way access.

The FIEA amendment has to be read together with the tax change from a punitive rate, up to 55 percent, toward about 20 percent, and with a deliberate move of crypto into the financial-instruments framework. Fact-finding on investor behavior is required before a causal story about regulation and DeFi is treated as established.

Wallet providers that serve Japanese exchanges are being brought into FSA registration. Custody and segregation of customer assets are the local priority; much of the rest of the stack can be outsourced. Dependence on a small set of foreign technology vendors is a real information problem for supervisors.

The existing Japanese sandbox is underused. Understanding why, from operators, and comparing it with other jurisdictions, is worth doing. It is a cross-government system, not an FSA-only switch.

Public-chain contribution, if it is done, is about the commons and about predictable insight, not about control.

DEX policy should start from the regulatory objective. Fraud, fair trading, and an audit trail that can identify who traded are the tests. If the chain already provides that trail, the case for a separate venue license is weaker. Time, not a new label, will answer whether current DEX data are enough.

Embedding compliance in tokenized assets is a credible lever for assets that do not already have a heavy title system.

The discussion should be written up in a short memorandum and folded into the next version of the industrial-structure paper, for Japan and for other jurisdictions with the same pattern.

Documents considered

The session referred to the following documents, repositories, and standards. Bibliographic identifications and factual checks added during review are marked as editorial clarifications; they do not imply that the links were spoken or that the meeting adopted the findings. Names of the people who introduced the material are omitted.

Editorial source check: Local Rules, Global Markets, submitted ten-slide contribution (slides 2, 4, 6–10); The Industrial Structure of Digital Assets, linked discussion paper (sections 1, 5.3.1 and 7.2.5); and Offshore, Infrastructure, Public Goods, discussion draft dated 23 September 2026 (slide 5). The submissions are preserved as received. These references correct the report; they do not convert proposals

into agreement.

BGIN industrial-design / industrial-structure discussion paper, version 1.0, completed in August, revised from a draft presented at the Tokyo meeting the previous year. No fuller title was spoken. Next version anticipated. Chapter slides and a final slide of cross-border tasks were presented. A QR packet and an in-session comment form were used.

Laws and regimes: Japan's crypto-exchange regulation since 2016; Financial Instruments and Exchange Act amendments, packaged with the crypto tax change; securities regulation of 1968; JVCEA; Japan crypto ISAC; FSA registration of wallet-solution providers; the cross-government Japanese sandbox since about 2018 and a separate proof-of-concept system; EU rules as an intermediary-and-issuer regime; UK critical-third-party regime (Bank of England, PRA, FCA; Amazon, Google, Microsoft, Oracle designated); EU DORA; Swiss guideline / white-paper practice; GENIUS Act as a comparison for local market reaction; advertising rules and IP blocking as Japan's practical outward tools.

Firms and infrastructures used as examples, not as recommendations: Fireblocks; IBM core banking; AWS; an Australian custodian [unverified]; Chainalysis; Elliptic; Utila; BitGo [unverified caption forms]; a global exchange's failed multi-year Japan entry; Korean global exchanges [unverified caption forms]; three megabanks' joint stablecoin; a June stablecoin issuer; "Egy" [unverified].

Prior finished work mentioned without a title: a paper on stablecoins. Compute market-structure writing was flagged as the next session.

Discussion

The following is the substance of the session. It preserves claims, figures, alternatives, and objections. Discussion does not establish a decision. Any candidate agreement requires explicit working-group confirmation.

Industrial design and digital assets, from a Japanese perspective, around a BGIN discussion paper. A version-1.0 text completed in August was summarized and reviewed chapter by chapter. Six open questions from the paper were the discussion agenda. Question 6 was not reached.

What the paper is. A draft discussion paper was presented at the Tokyo meeting the previous year. Comments from that meeting were reflected, and version 1.0 was completed in August. The text is basically about Japan. The claim is that the core findings are useful in other jurisdictions. The session agenda was local rules, a short pass over the paper, six questions about critical failures in Japan's digital-asset industry, and a choice of next research. A comment form and the Zoom channel were the input paths. Corrections to the chapter summary were invited.

The mismatch. The starting point is that regulation is local and the market is global. The same asset fails at three layers at once: locally, through licensed domestic providers; internationally, through providers sending users across borders; and globally, on DeFi and on exchanges that have no home jurisdiction. Disciplining one layer and ignoring the others does not work. Japan has regulated crypto exchanges since 2016. The written contribution gives more than 14 million accounts (Local Rules, Global Markets, slide 2), resolving the conflicting caption. Domestic volume is about 0.4 percent of global centralized-exchange volume, and prices are formed outside Japan.

Three problems that lock together. 1. Asymmetric compliance. Licensed firms carry compliance and risk costs that offshore operators and DEXs avoid. The more a firm complies, the worse it competes.

2. Dependence on concentrated infrastructure. Activity sits on a few global providers. The industry uses public chains and contributes little to maintaining them.

3. One-way market access. Local markets are cut off from global on-chain liquidity, so the cost savings that tokenization promises never arise.

Market forces alone will not fix this mismatch.

What securities-market history is taken to show. The contribution argues that regulation can build trust and widen participation. Its historical example is Japan's 1968 securities licensing change. Slide 4 of Local Rules, Global Markets distinguishes three failure patterns: too little regulation permits misconduct; excessive regulation chills participation; and, in crypto, burdens can displace activity into DeFi and offshore venues while leaving risk in place. The proposed task is to govern the pathways between regulated finance and DeFi without making participation inside the perimeter uneconomic.

A hybrid in three dimensions. 1. Function. Same activity, same risks, same regulation.

2. Actor. Whoever performs a function can still fail through weak governance, conflicts of interest, or an unsound financial basis. Governance, conflict-of-interest rules, and capital rules have to apply to the entity itself.

3. Code. The DeFi pathway is reached by regulating the code, in the senses below.

The framework brings those pathways within oversight and fits the form of regulation to the participant. It does not by itself set the intensity. That depends on lowering compliance costs and on aligning the level of rules across jurisdictions.

What that implies for today's rulebooks. Most regimes, including Japan and the European Union, are built on two anchors: the licensed intermediary and the issuer. Three improvements were proposed.

Define the perimeter by function, so the same rules apply whether a bank, an exchange, or a DeFi front end and protocol performs the function.

Unbundle the exchange license. Custody, listing, market-making, and key management, including outsourced technology providers, are each addressed. Where there is no issuer, disclosure attaches to whoever brings the token to the public.

Through the actor lens, supervise the group, not only the license holder. Separate conflicting functions. Extend governance duties to foundations, controlling DAOs, other main key holders, and critical vendors (confirmed in Local Rules, Global Markets, slide 6). Scale conduct and governance duties to the functions the entity combines and to the client assets it holds.

Who regulates the code. Code can be treated as a legal person. In practice the targets are those who can change the code or who stand at a checkpoint. Five routes:

1. The issuer, who can build transfer restrictions, whitelists, and other functions into token contracts.

2. Controllers holding admin keys or upgrade rights, proposed to be treated as operators (Local Rules, Global Markets, slide 7). This is a proposed regulatory approach, not a meeting decision.

3. Front ends, which can screen addresses and give disclosures.

4. Validators and oracles. This is the most conflicted route, because asking validators to filter transactions cuts against the censorship-resistance that public chains are valued for.

5. Technical standards and independent audits, with supervisors using on-chain monitoring.

Today's authorities lean on fiat on-ramps and off-ramps, a border control. That border fails when stablecoins and tokens circulate on-chain for a long time without touching fiat. The five routes are how oversight reaches inside the chain. Where none of them is available — immutable code with no controller — the border remains the backstop.

Industry structure beyond the rulebook. Two directions appear in the submitted slides (Local Rules, Global Markets, slides 8–9). The caption's suggestion of a third is not expanded into an additional proposal.

1. Separate what firms compete on from what the industry should share, as securities markets did with clearing, settlement, and custody. Sharing is also how the cost of staying inside the regulated perimeter stays reasonable. Three candidates: market surveillance, because the same token trades on many venues and no single venue can see cross-market manipulation; custody that is independent of trading, with multiple custodians and distributed keys so there is no single point of failure; and shared security surveillance. Defenders are often startups and should cooperate. The contribution identifies the asymmetry between attackers with nation-state-level capabilities and startup defenders; it does not use this phrase to specify a geographic scope (slide 8).

2. Stop setting DeFi against traditional finance and make them complement each other. Reusable KYC credentials plus transaction monitoring as regulated flow enters DeFi; rules for settlement; financial institutions as trust anchors.

Five things no single country can do alone. Close the cross-border compliance gap, with coordination through the FSB and IOSCO [unverified: captions say "Fsb and your school"].

Build shared infrastructure as a public–private project.

Agree what "fully decentralized" actually means, and then deal with the public-chain commons everyone depends on. The captions collapse these two ideas [unverified: "agree on what fully decentralize actually means. Then I'll find the public chain comments"].

Open two-way market access with legal certainty.

Open two-way market access, with cross-border legal certainty that transferring a token transfers the associated right (Local Rules, Global Markets, slide 10).

Japan today, in the chapter walk. The walk used 14 million accounts: large relative to eight or

nine years ago, small on a global scale, and of unclear quality because it is unknown how many are active. A global benchmark of roughly 20 to 25 percent of a country's population as crypto users was invoked; Japan was said to sit below that. Domestic volume remains about 0.4 percent of flows. Ninety percent of domestic Japanese exchanges were said to be operating at a loss. Entry as a new exchange or digital-asset venture is heavily burdened. The regime may be too heavy to let new players and new capital in, or to let incumbents make use of the users they have. How many tokens in the country are still active is hard to say; most were issued years ago, before the current rules. JVCEA, the local self-regulatory body, is part of the starting picture: many users, little price-setting power, a stretched self-regulator.

Each asset type has a different bottleneck. Fundraising tokens, bitcoin, ether, majors, exotics, stablecoins, security tokens, and real-world assets do not share one failure mode. That pattern is not unique to Japan. The risk of the Japanese approach is boxing too much into one category and hampering both entrants and local startups.

Who in the stack is actually in Japan. A stakeholder map was used to show how few required actors operate in Japan. Retail users are there. Two oversight bodies are there: one self-regulatory, one governmental. Custody technology, chain analytics, market makers, and therefore treasuries, oracles, and most counterparties are largely not there. Local-holding and local-custody rules then become harder to satisfy. Using oracles as price indexes raises a later question of where the information came from and who can be pursued if it is wrong. Code audit was singled out as a place Japan could build a venture: local bodies that help entering exchanges and that set a standard of vetted code useful to the government. Few of the technology players the market needs operate for Japan's benefit, which raises the cost of going to market both for domestic firms and for foreign firms entering.

Three structural constraints on registered operators. They carry the compliance and the losses.

Margins are squeezed. It is expensive to offer service in Japan. Compliance dominates operating cost. Raising capital and reaching users is difficult. Strict advertising limits around crypto make it harder.

Dependence is entrenched. South Korea was the contrast: large global exchanges can operate locally in local currency and support the local business from the global one, including as a loss leader. Very few global exchanges sit directly in Japan, because of compliance cost, and very few Japanese exchanges reach the global market.

The forward path, if nothing changes, is a small set of registered firms that move offshore as soon as they can, to escape compliance cost, while still serving Japanese customers who can buy and sell crypto.

Japan regulates asset types separately and has now moved crypto under securities law. That description was explicitly offered for correction. There has been only one licensed stablecoin trading provider since April 2026, which was called not enough, and the licensing burden makes it hard for foreign and domestic operators to raise capital, deploy it, and serve customers.

Effects expected from the Financial Instruments and Exchange Act shift. The shift raises costs for exchanges and issuers and opens the field to asset managers.

Exchanges: type-level rules and stronger surveillance; consolidation, exits, and acquisitions.

Token issuers: issuance remains realistic mainly for large firms. Offshore system vendors may exit. Japanese entrants may appear.

Asset managers: crypto ETFs and institutional mandates become possible. Markets can be localized by closing the loop of token ownership, licensing, compliance cost, and local ETF delivery.

JVCEA: can push costs back onto members, keep lobbying, and self-regulate while working with asset managers. That was called a real opportunity, and also something that does not by itself help the broader web3 and DeFi industry in Japan.

Concerns the paper groups. The FIEA turning point and the absence of a level playing field: offshore venues and indexes serve Japan without bearing Japan's costs, and the government's practical tools are largely advertising law and, to some extent, IP blocking. Infrastructure gaps: few local custody, chain-analytics, or sanctions-and-enforcement data-sharing providers. One-way market access, worsened by compliance cost and by local-currency constraints. Compute and validation concentrated overseas, which is tolerable until a future attempt to regulate the validation layer — the morning keynote was the reference — at which point Japan has few validators of its own.

Securities markets share plumbing and, in traditional Japanese equities, sit on one primary exchange form. Digital assets add exits and venue multiplicity that securities markets did not have: the same token on dozens of venues, 24 hours a day. Shared plumbing for digital assets is still thin. A Japan crypto ISAC is a first step and may not be enough.

The responsible party for a smart contract — deployer, user, or code auditor — is too unclear to be the first place enforcement attaches. The walk treated the current intensity of regulation as possibly too high to stand the industry up, and floated sandboxes so local and global players could operate. At 0.4 percent of flows it is hard to call the regime a success at innovation, even though consumers are heavily protected. For a Japanese resident, regulated exchanges are expensive and thin, while the argument was that DeFi can offer a cheaper, more liquid alternative. The written paper's comparison is DeFi spot trading volume at approximately 20 percent of centralized-exchange volume, not 20 percent of all on-chain value (section 7.2.5). The regime may be pushing consumers toward the more dangerous venue.

Custody: no dedicated sector, but not "no technology." A correction: it is fair to say Japan has no dedicated custodian segment, and it is also true that exchanges do not rely only on foreign technology. Homegrown domestic IT vendors supply technology. Whether operations are sufficient is a separate problem; a recent episode was referred to and not described. Each exchange has built its own stack on external IT vendors, and operations are vertically integrated. Dependence on external technology and vertical integration are both true.

Which vendor matters most locally. One view: the custodian is not the most important actor to locate in Japan, because new rules require wallet-solution providers that serve Japanese exchanges to register with the FSA. Fireblocks was the example: it serves Japanese exchanges and, to keep that business, needs FSA registration on a horizon of about two years. The FSA would like a Japanese

entity to provide custody solutions. Japan does not currently have custody-solution providers at the level of US providers. For protecting residents, custody solution providers are still the most important part of the stack and need to be regulated to some extent, not necessarily to the same intensity as exchanges, so that user funds are protected.

The opposing view: regulate the party that holds the value, not the technology vendor. IBM core-banking infrastructure, used across a large share of global banks, is not regulated as a financial institution; AWS was grouped with it. An Australian custodian [unverified: captions say "0 cap"] was the regulated entity holding customer funds and its own funds for liquidity and market-making, while using Fireblocks. On that example, Fireblocks should not be more regulated than the custodian. An approved-vendor list might be enough. Industry adoption, not a government instruction, is what made core banking a standard.

The reply: custody-technology providers are specifically how users' crypto assets are protected, and providers in the United States and elsewhere do not give regulators good information. Japanese exchanges may not themselves understand the risks inside these wallet systems. Vetted technology, rather than a full license, may be the right intensity. Some future legislation was still called necessary so that providers disclose more and cooperate with regulators. Strict parity with exchange regulation was not the claim.

A further comparison: the United Kingdom's critical-third-party regime. The Bank of England, the PRA, and the FCA monitor and regulate designated critical third parties. Amazon, Google, Microsoft, and Oracle were the first designated, because of financial-sector dependence on them. The European Union has a parallel in DORA. Japan's move toward wallet-provider registration was described as a first application of that idea to the crypto-service industry.

Proposed regulatory focus. One view opposed regulating technology as such and favored regulating whoever holds the money. Markets and liquidity need enough compliance regulation; the clients are exchanges and liquidity providers. Settlement is hard to regulate because it happens on-chain. Trust anchors were the layer not yet thought through: who is pursued, and how the data stays secure. Local indexes inside Japan, under a regulator, might be a reference standard. An oracle that is only a SaaS subscription was called not good enough for an exchange that has to operate legally.

Six open questions from the paper. 1. Competitive asymmetry. How to protect users and local firms when offshore venues skip local costs.

2. Infrastructure. Which parts of the stack to build at home, and which can be imported.

3. Compete versus share. Which functions each exchange runs, and which the industry should share.

4. Public chains. How Japan can contribute to the chains and developers it relies on.

5. Coexistence with DeFi. How to regulate it, how to live with it, how to protect consumers, and how to keep a boundary so that regulated activity stays inside the regime.

6. Capital-market access: token fundraising, self-custody wallets, and protection at each stage. Not

discussed. The session closed before it.

Question 1 — the more you comply, the worse you compete. Sub-questions put to the room: how Japan protects users when offshore venues skip local costs; which lever closes the gap without breaking the domestic layer; which costs should be relieved; whether registered firms should be dealt with before tougher enforcement; what the FSB and IOSCO can solve; and whether the United States, Europe, and Australia have the same asymmetry.

The following view was offered as discussion, not as an institutional position:

Compliance cost has not been the main thing written about.

There is still only one stablecoin operator in the relevant category, but the industry is moving. Another party started issuing a stablecoin in June. Others are interested, including a project rendered as "Egy" [unverified] and a joint stablecoin from three megabanks.

A flight of investors into DeFi because of regulation is still a hypothetical. Surveys and effect-finding are needed to quantify it.

The FIEA amendment was a package with a lower tax on crypto trading. Taxation had been punitive, up to 55 percent. The amendments can bring it to around 20 percent, in line with traditional securities, which could help Japanese crypto exchanges.

The industry's original argument was the tax cut. Recategorizing crypto from its own category into financial instruments was how regulators and industry got there, and that recategorization was intended to mean stricter regulation. Blaming "regulation" without that background was called too early, misguided, or at best partial. Inside the working group on the amendment, Japanese industry was not described as having raised strong objections.

Fact-finding on what investors want and do is the missing piece. Stricter rules might also give traditional financial institutions confidence to enter. Traditional-finance initiatives may be the actual competitive threat. It is too soon, in October, to treat June's changes as a demonstrated failure.

The reply, from conversations with exchanges, was anecdotal and was labeled as such. A global exchange tried for about three years to operate in Japan and could not see how to localize currency and hold enough liquidity without breaking the global business. That conversation was from the beginning of this year, before the June changes; later improvement was hoped for. Another foreign firm's Ginza presence was described as operational rather than as a full market entry [unverified firm]. Japan had been a major crypto market through 2016 and into early 2017. The request back was for the inverse evidence: what has actually changed in a quarter or two, comparable to local effects people associate with the GENIUS Act; how many of the 14 million accounts are active; whether large Korean global exchanges that are strong abroad and weaker at home want to enter; whether licenses are increasing; and what a sandbox would have to look like for a US or Australian venture to choose Japan ahead of Singapore and Hong Kong. The broader claim, offered as a general tendency, was that more regulation makes innovation harder, and that professional and licensing costs are a barrier. Sandboxes were strongly favored. Fourteen million accounts were said not to be large relative to Japan's population.

The response to that reply: business motivation matters as much as the rulebook; it is a chicken-and-egg

problem. Even strict rules can support a business if trading is active, and lower tax could produce that activity. Traditional institutions entering could create opportunities for operators. Taxation has to be analyzed with regulation, from the higher aim of widening the investor base and the set of participants. Technical workarounds also count.

One technical candidate described from work over the last year or two: intent-based networks that complete a transaction in seconds without a swap, a transfer, or a bridge. A local currency could sit on top of global liquidity, with the path from broadcast to execution measured in seconds or milliseconds. A large inventory sitting in Japan may not be required if value can move that quickly. A named trading firm was used as the illustration of inventory that might still be too small.

Custody providers remain the operational bottleneck. Even if custody is the compliance-critical function, Japanese custody-service providers rely on a further third party (Fireblocks was named again). The question put back was what is expected of custody-solution providers and how they become stronger than they are, including how information about those services is collected when an extra intermediary sits between the firm and the FSA.

Sandbox as the proposed industrial policy. Australia was the model: two or three sandboxes over a few years; one central-bank or payments project [unverified: captions say "Australian cpc project"] drew on the order of 160 submissions and selected 18; two Australian custody providers were the sandbox's custody layer. The proposal for Japan is to take the stakeholder map already in the industrial-design paper, invite those actors into a sandbox, and let a custody provider hold a small book — on the order of $10 million or $50 million rather than billions — under a lighter, specific rule set. Government support for private participants is controversial and was still recommended inside a sandbox. New technical work could come out of it; consumers could take confidence from a narrow, deliberate approval; analytics firms (Chainalysis and Elliptic were named; further vendor names were garbled [unverified]) and custody firms (Utila and BitGo were the intelligible examples [unverified renders]) could be pre-identified. Value would stay capped until users exist. Entry could be sequenced, accredited investors or institutions first. Foreign exchanges that today have only a lab presence, or that are not licensed, were expected to want back in. The constraint that was not to be forgotten: local custody is why Japanese FTX customers were not wiped out, described as the only jurisdiction in which that was true. Question 2 is the direct sequel: Japan regulates layers it does not host.

Question 2 — build or import. Which parts of the stack must be local, and which can be imported: custody, analytics, audit. What terms should govern critical vendors serving Japanese exchanges. Whether code auditors come first, or custody providers with a local office the FSA can summon. What would make two-way market access real rather than only formal. Subsidies and tax credits were asked about and not answered.

A further policy view was that custody is the important local piece, because customer assets have to be segregated when something fails, as in the FTX case. Other functions can potentially be outsourced. AML services are also important, for the same reason. Analytics are better to have and are not in the same "must" category, except that sanctions information matters and a local, shareable sanctions capability is desirable. Japan's own sanctions list was assumed. Audit, from that side, was not called

essential.

The chapter-walk view on audit: Switzerland's guidelines function as a broad legal white paper and cut the need to consult a lawyer constantly; a white paper is sometimes required and sometimes only recommended; audits matter. Banks get quality assurance and large audit firms. Crypto firms run too lean for that pattern to be assumed. Smart-contract audit matters because the contracts are the path into DeFi and into moving customer assets. It may not be an FSA priority and could still prevent later losses. Exploit counts were said to be rising while values fall, and auditors were credited with stopping a large share of loss. A recent XRP Ledger finding was cited at a notional scale of about $29 trillion. The public Veria Labs disclosure supports this identification and describes a fixed vulnerability with theoretical minting capacity, not an observed loss: https://verialabs.com/blog/biggest-hack-in-crypto-history/.

Question 3 — shared plumbing versus competition. Which functions each exchange should run, and which should be shared. Is custody a competitive differentiator or industry plumbing? Who runs shared infrastructure: JVCEA, a utility, or private industry? Does one shared custodian replace many small risks with one large key-account risk?

From traditional market structure: most countries now have a central securities depository, a single source of custody, though it is a different kind of custody, plus clearinghouses for exchanges. A central clearinghouse reduces risk and concentrates it. The result is a systemically important institution that must not fail, even though large institutions do fail, which is why resolution plans exist. Faced with many smaller custodians or one large custodian holding the industry's key risk, the instinct stated was competition, even at the cost of theoretical economies of scale.

Agreement with the traditional-finance model, and also with competition in custody, with a scale caveat: Japan may not need 20 or 30 custodians while it has on the order of 20 or 30 exchanges that each also provide custody. Changing that industry structure is the hard part. The paper's suggestion of one or two large custodians for Japanese investors was left as possibly right and possibly not. It is an open question on purpose.

Sandboxes, revisited as a BGIN research topic. A BGIN look at non-dominant Japanese organizations, and possibly a paper on how Japan could set up a sandbox using Australia, the United States, Singapore, and Hong Kong, was proposed from the floor.

A further policy view was that a Japanese sandbox-like system dating from around 2018 has had only three or four applications. They were small, organization-related projects and did not necessarily become businesses. Research on that system from the operators' point of view would be useful. The FSA wants more use of it. A separate proof-of-concept holding system exists and is not the same as a sandbox. Making the sandbox easier to use would help. It is not under the FSA alone; it is a government-wide system, which may be why it is hard to use. Treasury and other ministries are in it. Comparable ministry structures in Germany and in Europe were suggested as the comparison set: how they operate and what oversight they have.

The chapter-walk view: crypto is not a "solved" industry in Japan. A working sandbox could support a

return toward the pre-2016 level of activity without the market abuses, under a lighter regime, with real custodians and global entrants. Collecting industry views on how to make the existing sandbox easier was endorsed, with the caveat that it is cross-government.

Question 4 — contributing to public chains Japan uses. How Japan gets more influence over standards on Ethereum or other public chains. A Japanese DAO example was named and is garbled [unverified: "Jda" / "Dig Dow"]. The question to the paper's authors was why public-chain contribution belongs in the paper at all, if meaningful Ethereum validators or clients do not operate in Japan and the global commons is already funded.

The answer: not only Japan. Any jurisdiction that depends on the infrastructure may need to contribute at infrastructure level. The aim is not control. It is commitment, and predictable insight into the direction of infrastructure development — support for the public chain, a contribution to the commons, comparable to a tax paid in another form. The necessity of this contribution from a capital or issuance perspective remained disputed. It stays in the paper as an open question. A short additional view: contribution to the commons is a need, and in general is not really debatable. Examples of other cities and countries supporting public chains were on the slides and were not specified in the captions.

Question 5 — centralized venues regulated, decentralized venues without a touchpoint. The morning accountability point was brought back: a $5 transfer of value is regulated, and the same transfer inside DeFi is treated as too complicated. Is regulating exchanges and not DEXs sustainable? Where does the line sit? What test makes a protocol decentralized enough to sit outside? Do duties attach to front ends, validators, admin keys, code, or other control points? Is the compliance model border control or on-chain credentials?

From market structure: definitions do the work. Most protocols called decentralized still have some centralization. Wherever people are involved, there is a lever. Many markets are already decentralized. The spot market for gold can be traded almost anywhere; US gold futures are centralized. The same commodity exposure, different mechanisms, different jurisdictions. Crypto is expected to look like that: multiple ways to trade, multiple jurisdictions, and a continuing struggle to hit regulatory objectives.

Whether DeFi must be regulated depends on the objective. On the issuer side the objective is preventing fraud. On the trading side the objectives are preventing manipulation and getting good information to the market. Those objectives do not go away. The empirical question is whether DEXs help prevent manipulation or whether they fragment information. Exchange regulation ordinarily requires fair trading, exclusion of criminal participation, and production of information. If DEXs produce good information and no manipulation vector is identified, the need to regulate them is weaker. When regulators have to detect and punish manipulation, they need identity: who is trading. The decisive question is whether a DEX's chain produces an audit trail sufficient for surveillance. Identity is the bottom layer; from identity one can move up to counterparties and to the facility. Whether today's DEX audit trails are good enough, time will tell.

Further views in the room:

A facilitator of peer-to-peer transactions should know who is involved. Most mining pools now require

KYC to join. The centralization that has actually been usable for policy is the gateway: on-ramps and off-ramps, which are exchanges. That has worked. DeFi activity still creates taxable events that are not disclosed, and participants can leave. The moment of exit was described as the moment the tax authority can act. A more gradual approach was preferred to a sudden lock-up of assets by tax authorities. A "sanitized finance" example in which assets might be frozen by a tax authority was speculative and garbled.

Token design is another lever. As real-world assets are tokenized, the smart contract can carry the compliance, the audit trail, and the tax reporting, so that moving the token from one address to another performs trade reporting and tax reporting, and later straight-through processing.

The early real-world-asset story was houses, because a large transfer makes people who newly hold wealth want property. Buying a house with bitcoin on the Bitcoin network is close to impossible. Title systems are still paper moving between offices, and many banks are not set up for the transfer. Lightweight real-world assets — gold, cash — are where tokenization has been more coherent. Heavy assets that already have title law are where it breaks.

The confusing case: a centralized venue in one jurisdiction, the example used was the UAE, selling a decentralized claim on a house in another jurisdiction, the example used was Maine. It is unclear whether the buyer owns the principal asset or only economic rights, what disclosures and location limits apply, and who is at fault for selling or buying. What makes a market liquid was flagged as a longer theme and not developed.

Question 6. Access to funding and capital markets for decentralized financing and for exchanges. Skipped for time.

Where the working group should write next. The FASE working group was asked to choose. The discussion's own candidates, from the chapter-walk side: global research on sandboxes, including what has not worked in other jurisdictions, and the most critical infrastructure gaps for operating in Japan and globally. Those two were ranked as the most important. Topics need not be Japan-specific.

The close from the paper's side: the breadth has been covered; the next step is to digest the discussion in a short memorandum, among the people who were in the session, and to gather findings not only for Japan but for any jurisdiction with the same pattern, into the next version of the industrial-structure paper. The session outcome is to be posted on Discourse, along with other sessions from the day. The working group offered to take up research the JFSA needs when the agency lacks the resources or the priority. A break of about 15 minutes was called, with the compute session to follow at about 11:45 local time.

Matters not resolved

The written contribution resolves the account figure as more than 14 million. How many accounts are active, and how accounts relate to unique people, remain open.

Whether Japan's low share (about 0.4 percent of flows, 90 percent of domestic exchanges loss-making) is caused by compliance cost, by the pre-amendment tax of up to 55 percent, by missing global franchises, or by a chicken-and-egg demand problem. The regulatory-side comment says blaming the FIEA package

is too early and was not the industry's position in the working group. The chapter walk says global exchanges already could not enter, and that more regulation generally stifles innovation.

Whether investors are moving to DeFi because of regulation. Called hypothetical until surveyed. The written paper compares DeFi spot trading volume with centralized-exchange volume; it does not establish that 20 percent of all on-chain value is in DeFi.

One licensed stablecoin trading provider since April 2026, versus a picture of the industry moving: a June issuance, other interested issuers, and three megabanks. Both were stated.

Custody technology: register and regulate wallet providers (FSA rule, about a two-year horizon, Fireblocks as the example); vet them and require disclosure without a full license; or leave them as unregulated infrastructure the way core-banking vendors are left, and regulate only the entity that holds customer funds. UK critical third parties and EU DORA were offered as the precedent for regulating the dependency, not as a conclusion.

Analytics and audit: "better to have," with sanctions data the part that matters, versus smart-contract audit as a major unpriced public good. The $29 trillion XRP-related figure is [unverified].

How many custodians: competition among many, versus one or two large custodians in the paper, versus "not 20 or 30." Central clearing reduces risk and creates a too-big-to-fail institution that needs a resolution plan. Left open on purpose.

Which layer Japan must host: custody and AML were the regulatory-side priority; other functions can be outsourced. Code audit, local indexes, and local sanctions tooling were argued and not settled. Subsidies and tax credits were asked and not answered.

Whether a sandbox is the way forward. Strongly urged from the industry-design side, by analogy to Australia. The Japanese system since about 2018 has had only three or four small applications, is cross-government rather than FSA-only, and is hard to use. The FSA wants more use. What would make foreign firms pick Japan before Singapore or Hong Kong is open.

Whether any jurisdiction, Japan included, should fund the public-chain commons it uses. "Yes, as commitment and insight, not control" versus "unnecessary, because the global commons is already funded and Japan does not run the validators.".

Whether regulating centralized exchanges and not DEXs is sustainable. Objectives (fraud, manipulation, information) were agreed to be permanent. Whether DEX audit trails are sufficient, and whether duties sit on front ends, validators, admin keys, or on-chain credentials, is open. Identity was called the bottom layer of surveillance.

Token-level compliance works more plausibly for lightweight real-world assets than for property title. Cross-border "economic rights versus principal asset" (the house example) is unresolved.

Question 6, capital-market access and self-custody protection, was not discussed.

The submitted Local Rules, Global Markets slides resolve the historical failure patterns, two industry directions, fifth cross-border ask, and critical-vendor category. These are contribution proposals, not additional meeting resolutions.

Disposition of the work

The industrial-structure discussion paper is at version 1.0, completed in August, after a draft at the Tokyo meeting the year before. No other version number was given. The next version is intended to absorb this discussion, including jurisdictions beyond Japan. A short memorandum is the bridge. No publication date was set. Discourse will carry the session outcome.

Harmonization is the paper's own subject, not a separate status report. The live harmonization agenda from this session is: functional perimeter instead of intermediary-plus-issuer anchors; alignment of intensity across jurisdictions so compliance is not a competitive penalty; FSB and IOSCO coordination on the cross-border gap; public–private shared infrastructure; two-way market access with legal certainty; and an agreed meaning of "fully decentralized." None of those was closed.

Decentralization metrics were not presented as a BGIN measurement project. The paper explicitly says no single country can define "fully decentralized," and question 5 leaves the legal test open: front end, validator, admin key, code, border control, or on-chain credentials. Question 4 treats contribution to public chains as a commons problem. The morning's multi-axis point was referenced only by pointing back at the keynote, in the context of future validation-layer regulation and Japan's lack of local validators. No indicator, threshold, or scoring method was proposed.

Question 6 is untouched. The working group's candidate next research is sandboxes (what has and has not worked) and critical local infrastructure, globally as well as in Japan. The JFSA was invited to use the working group where agency research capacity is thin. A recently finished paper on stablecoins was mentioned as prior work of people in the room; no title was given. Decentralized-compute market structure was mentioned as writing already underway and is the next session.

Actions

Each action is written so that it can be tracked without the rest of the record. Where the room named only a person, the action is kept and the name is omitted.

Write a short memorandum of this discussion and feed it into the next version of the industrial-structure paper, framed so other jurisdictions can use it.

Post the session outcome on Discourse.

Quantify, rather than assert, whether regulation is pushing Japanese investors into DeFi. Survey investor behavior and intentions. Separate the effect of the FIEA recategorization from the effect of the tax cut toward about 20 percent.

Track, over the coming quarters, license uptake, foreign-exchange entry, stablecoin issuance (including the June issuer and the megabank project), and how many of the account population are active.

Decide a custody-vendor policy short of full exchange licensing: registration already coming for wallet providers, plus disclosure and a possible vetted or designated-third-party model (UK critical third parties, EU DORA as references).

Research the Japanese sandbox from operators' perspective, compare cross-government sandbox design with Australia, the United States, Singapore, Hong Kong, and European ministry models, and design a

small-value sandbox around the stakeholder map in the paper.

Leave the number of custodians open; if a shared custodian is pursued, pair it with a resolution plan because it becomes systemically important.

Keep question 4 (public-chain commons) and question 5 (the decentralization test and DEX audit trails) open. Do not treat validator filtering as the default.

Schedule question 6 (capital-market access, self-custody, protection across the fundraising path).

Working-group priority offered in the room: sandbox lessons, and critical infrastructure for local operation in Japan and elsewhere.

Coverage

This record covers the published industrial-design session in Room A. The room announced the next session for 11:45 local time, after the 11:20 tea break. Figures are reported session claims, not independently validated measurements. Technical names are corrected where supported by the recording, chat, or identified primary documentation. Where a name could not be checked against another part of the same recording, it is left unverified rather than guessed. Logistics, introductions, and names of speakers are omitted.

The slice begins mid-introduction of remote participants and runs through the paper summary, the chapter walk, questions 1 through 5 in uneven depth, and the research-priority close. Thanks, mute checks, and slide-advance chatter are ignored except here. Question 6 was explicitly skipped. The room ran long, then broke for about 15 minutes before the compute session. A recent operational incident at a domestic vendor was alluded to and not described. Slide examples of cities supporting public chains were mentioned and not read out. The chapter summary was open to correction; remarks on tax and the FIEA were not institutional positions.

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Source clarifications and open checks

"Egy": an additional stablecoin issuer said to be interested.

Australian custodian "0 cap.".

Analytics or custody names "hyper trace," "firewalls," "Bitco," "Utila.".

"Australian cpc project.".

"Jda" / "Dig Dow": a Japanese DAO example.

Firm rendered as operating from Ginza ("8th").

Korean exchange names rendered as "bit get bit thumb.".

Editorial check: Written sources support approximately 90% of domestic exchanges at a loss, 0.4% of global CEX volume, and DeFi spot volume approximately 20% of CEX volume. The caption incorrectly changes the denominator to all on-chain value. Remaining licence, tax and sandbox claims need their specific source.